

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 22-23

MARINE TRANSPORT LOGISTICS, INC.

v.

CMA CGM (AMERICA) LLC and CMA CGM, S.A.

**RESPONDENT’S RESPONSE TO COMPLAINANT’S
EXCEPTIONS TO THE INITIAL DECISION**

Respondent, CMA CGM S.A. (“CMA”), by its undersigned attorneys, responds to the exceptions filed by Complainant Marine Transport Logistics, Inc. (“MTL”) as follows:

I. Introduction

On January 8, 2025, MTL submitted “Exceptions of the Complainant,” apparently in response to the Initial Decision issued in this matter on December 19, 2024. These exceptions are so beset with procedural defects that the Commission can and should reject them without attempting to parse their substance. Specifically, MTL’s filing: (1) fails to comply with several provisions of 46 CFR Part 502; (2) contains what are effectively untimely appeals of orders issued by the Presiding Officer prior to the Initial Decision; (3) contains no assignment of error nor request for relief; (4) to the extent it could be construed as one, does not comply with the requirements for a motion to reopen; and (5) to the extent it could be construed as one, does not comply with the requirements for a motion to supplement the record. For these reasons, the Commission can and should issue an order denying the exceptions and making final the Initial Decision.

Nonetheless, should the Commission endeavor to evaluate the merits of MTL’s untimely and/or procedurally improper exceptions, the Commission should deny the exceptions on their merits. Construed as charitably as possible for the purpose of response, MTL appears to identify

three exceptions: (1) MTL disagrees with the Presiding Officer's finding in the Initial Decision that an adverse inference against CMA was not warranted based on discovery conduct; (2) contrary to the Presiding Officer's November 12, 2024 order, MTL should have been allowed to conduct additional discovery after briefing concluded and the matter was fully submitted; and (3) contrary to the Presiding Officer's October 30, 2024 order, MTL should have been allowed to introduce new evidence and new arguments, for the first time, in its reply brief.

Thus, MTL now presents to the Commission arguments which have already been thrice submitted to and rejected by ALJ Hervey, who thoughtfully determined that the issues raised by MTL are immaterial and irrelevant.¹ In her thorough Initial Decision and two earlier orders, the Presiding Officer meticulously explained the bases of her findings that MTL failed to prove any Shipping Act violation, failed to prove any alleged damages, and failed to demonstrate any prejudice attributable to CMA's discovery practices. None of those reasoned findings turn on the alleged discovery abuses MTL now seeks to relitigate for a fourth time.

MTL's exceptions are procedurally defective and fail on the merits; they should be denied. Respondent respectfully requests that the Commission issue an order denying the exceptions and making final the Initial Decision.

II. Applicable Law

a. Exceptions to Initial Decisions and Other Requests for Review

In cases proceeding as this one is under Subpart E of 46 C.F.R. Part 502, there are several motions or other filings a litigant may use to raise objection to orders or to conduct of other parties. Each filing has its own requirements with respect to when it must be filed and what it must contain.

¹ The arguments were previously rejected in at least two orders (which MTL did not seek leave to appeal) prior to issuance of the Initial Decision. *See* R. Docs. Nos. 71 (Order on Respondent's Motion to Strike) and 75 (Order on Complainant's Motion for Reconsideration or to Reopen Discovery).

Depending on the nature of the litigant's concern and the stage of the proceeding, such filings include, *inter alia*, exceptions to an initial decision, appeal of an order dismissing the case in whole or in part, and motions: for reconsideration; for leave to appeal an interlocutory order; to supplement the record; and to reopen. The general rules and requirements for each type are set forth in turn below.²

Exceptions to Initial Decisions and Appeal of Orders of Dismissal

Exceptions to initial decisions and orders dismissing the case in whole or part are both governed by 46 CFR §502.227, which provides:

- (a) Within twenty-two (22) days after date of service of the initial decision . . . any party may file a memorandum excepting to any conclusions, findings, or statements contained in *such decision*, and a brief in support of such memorandum. Such exceptions and brief shall . . . indicate with particularity alleged errors, . . . and shall be served on all parties pursuant to subpart H of this part.
...
- (b) (1) If an administrative law judge has granted a motion for dismissal of the proceeding in whole or in part, any party desiring to appeal must file such appeal no later than twenty-two (22) days after service of the ruling on the motion in question.
...
- (c) Whenever an administrative law judge orders dismissal of a proceeding in whole or in part, such order, in the absence of appeal, shall become the order of the Commission thirty (30) days after date of service of such order (and the Secretary shall so notify the parties), unless within such 30-day period the Commission decides to review such order on its own motion, in which case notice of such intention shall be served upon the parties.

46 CFR §502.227 (emphasis added).

² MTL's exceptions and brief in support do not clearly contain *any* of these motions and Respondent does not concede otherwise. To the extent the Commission determines to construe any of MTL's arguments as a proper motion or exception, Respondent does not waive and expressly reserves the right to assert all arguments and objections to any such determination.

The Commission generally refuses to accept late-filed exceptions where the exceptor has not addressed its failure to timely file; did not seek an enlargement of time to file exceptions; or where the record simply does not warrant waiving this procedural requirement. *See, e.g., Gov't of Guam v. Sea-Land Svc., et al*, 2005 FMC LEXIS 16 at *22-23 (“Although the Commission has discretion to allow [the untimely exceptions], we find that: GovGuam never addressed its failure to file its exceptions to the 2002 Dismissal Order in a timely manner; GovGuam failed to request an enlargement of time; GovGuam never requested a waiver of any of the Commission’s rules to permit a late filing of its exceptions; and the record does not warrant the grant of a waiver”).

Motion to Reconsider

Although the Commission’s Rules of Practice and Procedure (the “Rules”) do not specifically provide for reconsideration except with respect to a final decision or order of the Commission itself, the Commission has held, “‘A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision, whether those rulings are made by him or her or by a previously assigned administrative law judge.’” *R.O. White Co., et al v. Port of Miami Terminal Operating Co., et al*, No. 06-11, R. Doc. No. 50, 2007 FMC LEXIS 31, *11 (Oct. 29 2007) (collecting cases).

A presiding officer’s discretion to revisit her own interlocutory rulings is “limited by the law of the case doctrine and subject to the caveat that where litigants have once battled for the court’s decision, they should neither be required, nor without good reason permitted, to battle for it again.” *Murray v. Amalgamated Transit Union*, 99 F. Supp. 3d 149, 153 (D.D.C. 2015) (quoting *Singh v. George Washington Univ.*, 383 F. Supp. 2d 99, 101 (D.D.C. 2005) (internal punctuation omitted).

In general, federal courts operating under the Federal Rules of Civil Procedure “will grant a motion for reconsideration of an interlocutory order *only* when the movant demonstrates: (1) an intervening change in the law; (2) the discovery of new evidence not previously available; or (3) a clear error in the first order.” *Stewart v. Panetta*, 826 F. Supp. 2d 176, 177 (D.D.C. 2011) (citation omitted). “Reconsideration will generally be denied unless the moving party can point to controlling decisions or data that the court overlooked—matters, in other words, that might reasonably be expected to alter the conclusion reached by the court.” *Shrader v. CSX Transp., Inc.*, 70 F.3d 255, 257 (2d Cir. 1995). Further, in the interest of finality, predictability and economy of judicial resources “as a rule a court should be loathe [sic] to revisit its own prior decisions in the absence of extraordinary circumstances”. *Murray*, 99 F. Supp. 3d at 153 (quoting *Brookens v. United States*, 308 F.R.D. 14, 15 (D.D.C. 2015)). To rebut this presumption against reconsideration, “[t]he moving party has the burden of showing that reconsideration is warranted, and that some harm or injustice would result if reconsideration were to be denied.” *Pueschel v. Nat’l Air Traffic Controllers’ Ass’n*, 606 F. Supp. 2d 82, 85 (D.D.C. 2009) (citing *Def. of Animals v. Nat’l Institute of Health*, 543 F. Supp. 2d 70, 76 (D.D.C. 2008)). Motions for reconsideration are analogous to a form of requests for interlocutory appeal, which are assessed using the following factors: (1) substantial delay, (2) expense, (3) detriment to the public interest, or (4) undue prejudice to a party. *Bed Bath and Beyond, Inc. v. Orient Overseas Container Line Ltd., et al.*, No. 23-02, R. Doc. No. 34, 2023 FMC LEXIS 535, *3 (denying a motion for reconsideration or leave to appeal an interlocutory order) (ALJ Wirth Nov. 9, 2023).

These factors typically weigh against reconsideration where the movant is seeking to reopen discovery at a late stage. As ALJ Wirth has explained, in denying a complainant’s motion that sought to reopen discovery at the briefing stage:

Complainants' motion for reconsideration is untimely and thus procedurally improper. As Complainants acknowledge, the discovery they are seeking "has been sought all along" and the motion to compel has already been ruled upon. At this stage of the proceeding, the case has been pending for almost a year, discovery is over, and the parties have been ordered to file their briefs. Any party who believes the other party did not provide relevant requested discovery should raise those arguments in their briefs as previously instructed.

Nnabugwu Chinedu Andrew, et. al v. Marine Transport Logistics, Inc., et. al, No. 20-12, R. Doc. No. 26, 2021 FMC LEXIS 103, at *2 (denying a motion for reconsideration) (ALJ Wirth Jul. 2, 2021), *aff'd*, 2022 FMC LEXIS 410. FMC precedent dictates that motions for reconsideration are "untimely and thus procedurally improper" where "the case has been pending for almost a year, discovery is over, and the parties have been ordered to file their briefs". *Id.*

Motions for Leave to Appeal

Appeal of interlocutory orders are governed by 46 CFR §502.221, which provides:

(a) Rulings of the presiding officer may not be appealed prior to or during the course of the hearing, or subsequent thereto, if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.

(b) Any party seeking to appeal must file a motion for leave to appeal no later than fifteen (15) days after written service or oral notice of the ruling in question, unless the presiding officer, for good cause shown, enlarges or shortens the time. Any such motion must contain the grounds for leave to appeal and the appeal itself.

As noted above, the Commission does not generally waive these requirements where the movant has failed to provide any explanation for her delay in filing. *See Gov't of Guam*, 2005 FMC LEXIS at *23.

Motion to Supplement the Record

After the case has been fully submitted (i.e., briefed), a party may move to supplement the record with additional evidence. 46 CFR § 502.216. A motion to supplement must be filed *prior* to issuance of the presiding officer's initial decision. *Id.* Absent such a motion, "the transcript of

testimony and exhibits, together with all filings and motions filed in the proceeding, will constitute the exclusive record for decision.” § 502.217.

Motion to Reopen

After an initial decision but before the Commission issues its decision, upon motion of a party the Commission may reopen a proceeding for the purpose of taking additional evidence. 46 C.F.R. § 502.230. The motion to reopen must “set forth the grounds requiring reopening of the proceeding, including material changes of fact or law alleged to have occurred.” 46 C.F.R. § 502.230(a). “Submitting evidence that was previously available to the moving party is not adequate grounds for reopening the proceedings.” *Crocus Investments, et al v. Marine Transport Logistics, Inc. et al*, 2017 FMC LEXIS 15, *9, 2017 FMC LEXIS 15 (citing *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 159-60 (FMC 2001)). As explained by the Commission in *Crocus*:

It is a well settled principle of federal litigation that parties cannot withhold “known facts helpful to [their] cause” and later rely on them as justification for reversing an unfavorable outcome. *Munoz v. Bd. of Tr. of the Univ. of the Dist. of Columbia*, 730 F. Supp. 2d 62, 65 (D.D.C. 2010). In keeping with that principle, the Commission has denied petitions to reopen for the purpose of submitting previously available evidence. *Rose Int’l*, 29 S.R.R. at 159-60 (request to reopen the record “must fail” where evidence was available before discovery closed and movant failed to explain any material changes of fact or law); cf. *Anderson Int’l*, 31 S.R.R. at 1093 (movant’s failure to uncover sooner the proffered evidence about respondent’s bankruptcy proceedings not cause for denying petition to reopen the record). While the current version of Rule 230 does not require a “showing that the additional evidence was unavailable at the time of the prior hearing,” *see id.*, whether the proffered evidence was previously available is still a consideration. *See, e.g. Rose Int’l, Inc.*, 29 S.R.R. at 159-60.

Id. at *11. Evidence is ‘material’ only if there is a reasonable probability that it will change the outcome. *Green Master Int’l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 1303, 1318 (FMC 2003) (“material facts” are facts that might “affect the outcome” under “governing law”) (citing *Gonzalez v. Torres*, 915 F. Supp.

511, 515 (D.P.R. 1996)). While “Commission precedent favors deciding cases based on the most complete record available, that principle applies to relevant and material evidence”; but where “proffered evidence will not change the outcome, it need not be considered.” *Crocus*, 2017 FMC LEXIS at *17.

b. Standard of Review—Discovery Sanctions (or lack thereof)

The Commission reviews discovery orders, including sanctions, for abuse of discretion. *See, e.g., MCS Indus., Inc. v. Mediterranean Shipping Co.*, 2024 FMC LEXIS 527, *14-15, 2024 FMC LEXIS 527 (“the Commission reviews discovery orders, including orders imposing sanctions, under an abuse of discretion standard”) (citing its own order as well as *Rana v. Franklin*, FMC Docket No. 19-03, 2022 WL 1744905, at *4 (FMC May 25, 2022); *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. and N.J.*, FMC Docket No. 11-12, 2014 WL 7328475, at *7-8 (FMC Nov. 20, 2014)). Likewise, federal Courts of Appeal apply an abuse of discretion standard because a “narrowly circumscribed scope of review is consistent with district courts’ considerable discretion in managing discovery and their broad discretion to impose sanctions for discovery violations under [Federal] Rule [of Civil Procedure] 37.” *Id.* (collecting cases).

To the extent the Commission finds any discovery issue is properly before it, the Commission should review such matters under an abuse of discretion standard.

c. Standard of Review—Award of Reparations (or lack thereof)

Similarly, federal agencies review ALJ decisions on damages under an abuse of discretion standard. For example, in cases like *Office of Federal Compliance Programs v. Bank of America*, Admin Rev. Bd., U.S. Dept. Of Labor, No. 13-099, 2016 WL 2892921 (DOL Admin. Rev. Bd. Apr. 21, 2016) and *Larry Barnum v. J.D.C. Logistics, Inc.*, Admin Rev. Bd., U.S. Dept. Of Labor, No. 08-030, 2009 WL 564763 (DOL Admin. Rev. Bd. Feb. 27, 2009), ALJ’s methodologies for

awarding damages are upheld if “reasonable discretion” is exercised. This approach is consistent with federal appellate courts’ practice, as seen in *Spanski Enters., Inc. v. Telewizja Polska, S.A.*, 883 F.3d 904, 909 (D.C. Cir. 2018), where statutory damages under the Copyright Act are reviewed for abuse of discretion. The core rationale, highlighted in *U.S. ex rel. Am. Civil Construction LLC v. Hirani Eng’g & Land Surveying, PC*, 26 F.4th 952, 959 (D.C. Cir. 2022), is that damage awards, governed by Federal Rule of Civil Procedure 52(a), will not be disturbed unless clearly erroneous. The FMC has adopted and endorsed an abuse of discretion standard for the award (or lack thereof) of reparations. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Order Affirming Initial Decision on Remand at p. 18, Docket No. 21-05 (Federal Maritime Commission July 16, 2024) (citing with approval *Bank of America*, *Larry Barnum*, and *Spanski Enters.*).

To the extent the Commission finds any reparations issue is properly before it, the Commission should review such matters under an abuse of discretion standard.

III. The Initial Decision was properly rendered; MTL has not shown otherwise.

MTL’s brief lacks the most basic elements a litigant must include when seeking review—assignment of errors below and some request for relief from the erroneous opinion. MTL does not argue, let alone establish, that ALJ Hervey abused her discretion or made any other factual or legal error with respect to any finding in the Initial Decision. Should the Commission entertain the three vaguely asserted grievances raised by MTL, there are procedural and substantive grounds for rejecting each one.

a. ALJ Hervey did not err in denying MTL the adverse inference it requested

This exception is the only one raised by MTL that actually addresses a portion of the Initial Decision rather than an earlier order. So, other than its failure to meet the specificity requirement of §502.227, this is the only of the three exceptions that is potentially *procedurally* valid as an

exception, i.e., timely filed and actually pertaining to the Initial Decision. But MTL does not even argue, let alone establish, that ALJ Hervey abused her discretion with respect to her rejection of MTL's request for an adverse inference against CMA.

ALJ Hervey's decision on MTL's initial request for a negative inference is entitled to review on an abuse of discretion basis. The Initial Decision contains thorough analysis of the merits of MTL's request against the requirements of the applicable rule (46 CFR §502.150(b)). Initial Decision, R. Doc. No. 77, at 33-35. That rule permits, but does not require, an ALJ to award sanctions for the failure of a party to comply with an order compelling disclosure or discovery.

This rule is analogous to FRCP 37(b), and robust caselaw suggests that a negative inference is only appropriate where a party "intentionally ignores its discovery obligations" *Qi Qing Weng v. Hana Japanese Steakhouse, Inc.*, 2020 WL 102313434, at *3 (E.D. Tenn. 2020). "Imposing an adverse inference from the fact that evidence is missing 'is a generally accepted principle of law that finds its roots in the 18th century...'" *Clark Const. Group, Inc. v. City of Memphis*, 229 F.R.D. 131 at 139 (quoting *Welsh v. United States*, 844 F.2d 1239, 1244 (6th Cir.1988)). Additionally, such inferences are generally granted only where the Court finds bad faith. *Id.* A primary purpose of sanctions such as a negative inference is to prevent a party who has refused to cooperate in discovery from benefitting from that party's wrongful conduct. *Id.* at 140.

As ALJ Hervey notes, CMA complied with all discovery deadlines and orders in this case. Initial Decision, R. Doc. No. 77, at 35. The conduct MTL complains of is CMA's production of over 20,000 documents within the timeframe set by the Presiding Officer. To produce these documents, CMA conducted a diligent and extensive search of its records and otherwise complied with the Presiding Officer's discovery orders in good faith. MTL's repeated insistence that CMA

violated said orders by complying with them is simply bizarre. Moreover, as ALJ Hervey points out, MTL has not offered any evidence that the three emails CMA did not produce were responsive to any of its requests for production, nor has it demonstrated how it was harmed by CMA's failure to produce these emails (nor could it since it had the emails in its possession from the outset). *Id.*

The Initial Decision was well-grounded in fact and law; MTL has failed to introduce any argument or evidence to the contrary. The exception to this finding must be denied.

b. ALJ Hervey did not err in denying MTL's request to reopen discovery (via November 12, 2024 order)

Like the complainant in *Gov't of Guam*, MTL has lumped in untimely appeals / motions alongside its lone exception to the Initial Decision itself. *Gov't of Guam*, 2005 FMC LEXIS 16 at *23. There, the complainant timely filed exceptions to an initial decision but included alongside the timely exceptions what amounted to an appeal of an order issued by the presiding officer a year and a half earlier. *Id.* The Commission refused to review exceptions to the earlier order on the grounds that it was time-barred. *Id.* at *22-23 ("Although the Commission has discretion to allow [the untimely exceptions], we find that: GovGuam never addressed its failure to file its exceptions to the 2002 Dismissal Order in a timely manner; GovGuam failed to request an enlargement of time; GovGuam never requested a waiver of any of the Commission's rules to permit a late filing of its exceptions; and the record does not warrant the grant of a waiver"). The Commission should to the same here as FMC precedent dictates that motions for reconsideration are "untimely and thus procedurally improper" where "the case has been pending for almost a year, discovery is over, and the parties have been ordered to file their briefs". *Id.*

Here, what MTL is really excepting to is not the Initial Decision but the November 12, 2024 Order (denying MTL's Motion for Reconsideration or to Reopen Discovery) and the October 30, 2024 Order (granting Respondent's Motion to Strike): "[I]t is argued that in light of [] discovery

related conduct by CMA, ALJ Hervey should have reopened discovery and should have granted MTL's motion for reconsideration." Exceptions of the Complainant, R. Doc. No. 78, at 1-2. MTL fails to explain why it never sought leave to appeal the November 12 Order, filed a motion with the Commission to reopen the proceedings, or sought reconsideration. To the extent the Commission construes this as a motion for leave to appeal or for reconsideration of the November 12 Order, a motion for reconsideration of it, or a motion to supplement the record, it is untimely and waived. It also cannot be considered an exception to the Initial Decision because, as found by ALJ Hervey, these arguments were waived prior to the issuance of the Initial Decision. *See* Initial Decision, R. Doc. No. 77, at 35-36 ("Because the issue of lost profits was raised for the first time on reply, the arguments regarding lost profits in MTL's reply brief and Exhibits 55, 56, and 57, were stricken from the record by the order granting CMA's motion to strike dated October 30, 2024, and the subsequent order denying MTL's motion for reconsideration dated November 12, 2024."); *see also* Order on Respondent's Motion to Strike, R. Doc. No. 71, at 3 ("Because MTL failed to argue that it sustained lost business profits or submit evidence of lost profits until it filed its reply brief, the portions of the brief and evidence relating to lost profits should be stricken").

Nonetheless, MTL's complaints should also be rejected on substantive grounds. ALJ Hervey did not err in denying MTL's motion to reconsider. As noted in the Initial Decision, following the resolution of all discovery issues and issuance of the final Scheduling Order on February 27, 2024, Respondent fully complied with all discovery orders and produced 20,000+ documents as soon as they were available. Surely, the Commission can appreciate that for the 20,000+ documents CMA produced, there were tens of thousands more that were unresponsive yet nonetheless had to be reviewed. This kind of document review takes time and MTL is grasping at straws to suggest that CMA's production *within the time allotted by the order*, somehow violates

the order. The review cost untold man hours and in excess of \$30,000.00 to conduct and prepare for production. It borders on the absurd that MTL would seek sanctions based on a production it knows was both timely and onerous for CMA.

In her November 12 Order, ALJ Hervey meticulously explained the reasons she denied MTL's motion to reconsider granting Respondent's motion to strike. None of those reasons turn on the alleged discovery abuses MTL now seeks to relitigate for a fourth time. ALJ Hervey explained the irrelevance of alleged discovery misconduct (misconduct Respondent denies):

the information regarding MTL's lost profits is uniquely within the possession and control of MTL – not CMA, and, as such, it necessarily follows that MTL's ability to produce lost profits argument and evidence in its opening brief was not impacted by the timing of Respondent's document production.

Order on Complainant's Motion for Reconsideration or to Reopen Discovery, R. Doc. No. 75, at 3. Nothing has changed between November 12 and today. MTL has yet to explain how CMA's compliance with its discovery obligations prevented MTL from making its case in chief.

This exception does not address a finding in the Initial Decision and is untimely or procedurally improper if construed as any of the other potential motions available to litigants in FMC proceedings. Moreover, there is no trace of any argument that ALJ Hervey abused her discretion. Accordingly, these exceptions should be denied.

c. ALJ Hervey did not err in granting Respondent's motion to strike (via October 30, 2024 order)

In the third exception, MTL asserts without elaboration that "ALJ Hervey should have reopened discovery and should have granted MTL's motion for reconsideration." That position is contrary to the well-established case law regarding presentation of evidence. Indeed, the law is clear that evidence and arguments must be raised in an opening brief and newly introduced evidence (especially evidence that had never been produced in discovery despite being directly responsive to a number of different requests) must be struck. *Ner Tamid Congregation of N. Town*

v. Krivoruchko, 620 F.Supp.2d 924, 929 (N.D.Ill.2009); *see also Autotech Techs. Ltd. P'ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D.Ill.2006). Further, a party must move to supplement the record if she wishes to introduce new documents following the presentation of the case. 46 CFR § 502.216.

MTL was presented every opportunity to introduce evidence of damages during discovery but failed to do so. It was only after CMA argued that the lack of evidence of damages was fatal to MTL's claim that it produced previously unknown self-serving evidence of damages. Moreover, it did so after submission of its brief and appendix but without seeking leave to supplement, as required under § 502.216.

Even if the Commission believes that the lost profits evidence should not have been stricken, MTL's exception still must be rejected. The stricken evidence relates to only one of the two fatal flaws in MTL's claims: MTL's failure to prove its damages. The stricken evidence has no bearing on and would not alter ALJ Hervey's finding that MTL failed to prove any unreasonable pattern or practice on the part of CMA. *See* Initial Decision, R. Doc. No. 77, at 38 ("Complainant's claim fails because it has not established that CMA engaged in any unreasonable regulation or practice on a normal, customary, and continuous basis"). In other words, the stricken evidence is immaterial to ALJ Hervey's ultimate holding. *See, e.g., Green Master Int'l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 1303, 1318 (FMC 2003) (explaining that "material facts" are facts that might "affect the outcome" under "governing law").

Because the stricken evidence is not material, it need not be considered. *See Crocus Investments, et al v. Marine Transport Logistics, Inc. et al*, 2017 FMC LEXIS at *17 (explaining

that if “proffered evidence will not change the outcome, it need not be considered.”). Accordingly, ALJ Hervey did not err in striking the evidence or in refusing to reconsider the order doing so.

IV. Conclusion and Request for Relief

For the foregoing reasons Respondent CMA respectfully requests that Complainant’s exceptions be denied, with prejudice, and the Initial Decision of ALJ Hervey affirmed.

Dated: January 30, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 30th day of January 2025 a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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